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Case Number: 25STCV35240 Hearing Date: July 16, 2026 Dept: 508

Superior
Court of California

County of Los Angeles

Department
50

DAVID NEALY, et al.,

Plaintiffs,

vs.

NICOLE EVANS, et al.,

Defendants.

and

METROPOLIS
MASTER ASSOCIATION,

Nominal Defendant.

Case
No.:

25STCV35240

Hearing Date:

July 16, 2026

Hearing Time:

10:00 a.m.

[TENTATIVE] ORDER RE:

DIRECTOR DEFENDANTS' MOTION
TO COMPEL ARBITRATION AND STAY THIS ACTION PENDING ARBITRATION;

DEFENDANT FIRSTSERVICE RESIDENTIAL
CALIFORNIA, LLC'S MOTION TO COMPEL ARBITRATION AND TO STAY THE ACTION

Background

On December 3, 2025, Plaintiffs David Nealy and Nitin Bhatnagar (jointly, "Plaintiffs"), derivatively and on behalf of Nominal Defendant Metropolis Master Association ("Master HOA") filed this action against Defendants Nicole Evans, Rosa Lilia Gutierrez, Xin "Eric" Li, Kimberly Lucero, Brodie Sadahiro, Steve Wang (individual defendants collectively, "Director Defendants"), and FirstService Residential California LLC ("FirstService"). The derivative complaint alleges five causes of action for (1) breach of fiduciary duty, (2) aiding and abetting breach of fiduciary duty, (3) breach of contract, (4) negligence, and (5) unjust enrichment. The first and fourth causes of action are alleged against the Director Defendants, while the second, third, and fifth causes of action are alleged against FirstService.

As noted by the complaint, "[t]his action concerns the breaches of duty by the members of the board of Master HOA ('Board') and the management company of Master HOA, FirstService." (Compl., ¶ 1.) "Plaintiffs bring derivative claims on behalf of Master HOA to recover losses suffered as a result of Defendants' misconduct." (Compl., ¶ 3.) Plaintiffs assert that "Master HOA generally manages the Metropolis project, a multi-phase, residential/ commercial community in downtown Los Angeles. All unit owners in the Metropolis project, including the developer and its affiliates, are members of Master HOA and owe assessments to Master HOA. Instead of collecting assessments on the developer-owned units, Individual Defendants improperly caused Master HOA to enter into an agreement to abate such assessments and/or continued to improperly abate the assessments. Defendant FirstService, the management company hired by the Master HOA, also violated its obligations to Master HOA by failing to collect assessments on the developer-owned units and by enforcing the legally invalid abatement agreement. As a result, the Board and FirstService have failed to collect millions of dollars of assessments on units owned by the developer of the Metropolis project, to the detriment of Master HOA and its members." (Compl., ¶ 2.) Non-party "Greenland LA Metropolis Acquisition LLC[] developed portions of the Metropolis residential high-rise condominium project and is defined as the 'Master Declarant' in the Master CC&Rs. GMA is the owner of units located within the Metropolis development." (Compl., ¶ 34.)

Director
Defendants now move to compel arbitration for the first and fourth causes of action of the complaint. FirstService moves to compel arbitration for the second, third, and fifth causes of action of the complaint. Plaintiffs oppose both. Director Defendants and FirstService replied.

Evidentiary
Objections

The Court rules on FirstService's evidentiary objections as follows:

Objection No. 1: overruled

Objection Nos. 2, 3: sustained

Legal
Standard

Code of Civil Procedure, section 1281 provides that "[a] written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract."

“California law, like federal law, favors enforcement of valid arbitration agreements.” (Armendariz v. Foundation Health Psychcare Services, Inc. (2000) 24 Cal.4th 83, 97.) The Federal Arbitration Act (FAA) and the California Arbitration Act (CAA) are liberal policies that create a presumption in favor of arbitration agreements, requiring that any doubts or ambiguities of an arbitration clause’s scope to be resolved in favor of arbitration. (Cronus Investments, Inc. v. Concierge Services (2005) 35 Cal.4th 376, 384-386; Baker v. Osborne Development Corp. (2008) 159 Cal.App.4th 884, 892 (Baker).) This strong public policy compels courts to liberally construe the terms of arbitration agreements. (Vianna v. Doctors’ Management Co.¿(1994) 27 Cal.App.4th 1186, 1189).

The general rule is that the FAA governs all agreements to arbitrate in contracts “involving interstate commerce.” (Higgins v. Superior Court (2006) 140 Cal.App.4th 1238, 1247.) The term “involving” commerce “is broad and is indeed the functional equivalent of ‘affecting’” commerce. (Allied-Bruce Terminix Cos. v. Dobson (1995) 513 U.S. 265, 273-274.) However, even when the FAA governs the interpretation of arbitration clauses, California law will govern whether an arbitration agreement was formed in the first instance. (Baker, supra, at 893.)

To compel arbitration of a plaintiff’s claims, a defendant must first allege the existence of an agreement to arbitrate. (Condee v. Longwood Management Corp. (2001) 88 Cal.App.4th 215, 219.) The burden then shifts to the plaintiff to prove the falsity of the agreement. (Ibid.) After the Court determines that an agreement to arbitrate exists, it then considers objections to its enforceability. (Ibid.) If a valid agreement is found, “the court shall order the petitioner and the respondent to arbitrate.” (Code Civ. Proc., § 1281.2.)

Discussion

Both Director Defendants and FirstService contend that a valid arbitration agreement exists between the parties. Plaintiffs contend that the agreement does not cover their lawsuit.

Parties may be compelled to arbitrate a dispute if the court finds that (1) there is “an enforceable arbitration agreement between the parties,” and (2) the agreement covers the causes of action in the parties’ dispute.¿(Omar v. Ralphs Grocery Co. (2004)¿118 Cal.App.4th 955, 961.) A party seeking to compel arbitration may meet their initial burden by simply alleging “the existence of an agreement and support[ing] the allegation” by attaching a copy of the agreement or its relevant provisions. (Condee v. Longwood Mgmt. Corp. (2001) 88 Cal.App.4th 215, 219.)

“In determining whether an arbitration agreement applies to a specific dispute, the court may examine only the agreement itself and the complaint filed by the party refusing arbitration [citation]. The court should attempt to give effect to the parties’ intentions, in light of the usual and ordinary meaning of the contractual language and the¿circumstances under which the agreement was made.”¿(Weeks v. Crow¿(1980) 113 Cal.App.3d 350, 353.) “To determine whether a contractual arbitration clause requires arbitration of a particular controversy, the controversy is first identified and the issue is whether that controversy is within the scope of the contractual arbitration clause.”¿(Titolo¿v. Cano¿(2007) 157 Cal.App.4th 310, 316.) The court should order parties to arbitrate, even if there are doubts, unless the clause clearly cannot be interpreted to cover the dispute.¿(California Correctional Peace Officers¿Assn.¿v. State¿(2006) 142 Cal.App.4th 198, 205.)

A.
Existence of an Arbitration Agreement

Director
Defendants carry their initial burden by pointing to the arbitration agreement contained in the Master Declaration of Covenants, Conditions, and Restrictions and Establishment of Easements (“CC&Rs”). Specifically, they point to section 14.2 of the agreement which states, inter alia, that “[a]ny disputes between all or any of the Master Association, Owner(s), the Master Declarant, or any director, officer, partner, employer, general contractor, subcontractor, material supplier, individual product manufacturer, design professional, consultant, or agent of the Master Declarant (collectively ‘Master Declarant Parties’), arising under this Master Declaration or relating to the Properties, shall be resolved in

accordance with the alternate dispute resolution provisions of Section 14.3 below." (Compl., Ex. 1, p. 91.) Section 14.3 prescribes "resolution of disputes through mediation or, in the alternative, binding arbitration." (Ibid.) Director Defendants also quote the language of section 14.3.1, which states in pertinent part that:

"[A]ny dispute, between … any Master Declarant Parties, Merchant Builder or other developer of the Project, or between the Master Association and any Owner with respect to the interpretation of any of the provisions of this · Master Declaration, or with respect to any alleged breach hereof, or with respect to any other claim related to a Lot or the Master Common. Area… (collectively, a 'Dispute'), shall first be submitted to mediation and, if not settled during mediation, shall thereafter be submitted to binding arbitration as provided by the Federal Arbitration Act (9 U.S.C. §§I et seq.) and not by or in a court of law or equity."

(Ibid.) Section 14.3.3 prescribes that the arbitration shall be conducted by the American Arbitration Association ("AAA"). (Compl., Ex. 1, p. 92.)

FirstService similarly contends that a valid arbitration agreement exists between the parties. FirstService identifies the same CC&R document and sections as Director Defendants. FirstService also identifies the Full Service Management Agreement ("Management Agreement") between FirstService and Master HOA, which contains an arbitration provision. Section 9.2 of the Management Agreement states that "[t]he parties agree that any and all disputes, claims or controversies arising out of or relating to this Agreement shall be submitted to Judicial Arbitration Mediation Services (hereafter 'JAMS'), or its successor, for mediation, and if the matter is not resolved through mediation, then it shall be submitted to JAMS, or its successor, for final and binding arbitration pursuant to this Section 9.2." (Mathieson Decl., ¶ 4, Ex. A, p. 149.)

Based on the foregoing and the lack of Plaintiffs' opposition to the existence of the arbitration provisions, the Court finds that an arbitration agreement exists. The relevant inquiry is whether the agreement(s) cover the issues identified in Plaintiffs' complaint

B. Arbitration Agreement Does Not Cover the Disputes Against Director Defendants

First, Director Defendants assert that "Plaintiffs are required to arbitrate because they are 'Owners' asserting claims against other Owners. CC&Rs §14.2. The CC&Rs define an 'Owner' as 'the record Owner or Owners, if more than one, of a Lot or Condominium in the Project, including Master Declarant so long as a Condominium or Lot belonging to Master Declarant remains unsold to a member of the general public.' (CC&Rs § 1.1.43). [Compl., Ex. 1.] Plaintiffs Nealy and Bhatnagar are owners of units in the R2 tower." (Mot., 8:11-15.) Director Defendants also contend they count as "Owners" because "Director Defendants Gutierrez and Sadahiro each own R2 units and reside there. (Compl., ¶9, 12; Lucero Decl., ¶10). Though the Greenland Director Defendants individually are not record owners, these defendants served on the Master Board as representatives of the Greenland entity 'Owners.' (Lucero Decl., ¶11; see also CC&Rs §§ 4.3-4.5 (providing that the composition of the Board is intended to assure the owners are represented)). Under circumstances such as these, even though they are not individually signatories to the CC&Rs, the Greenland Director Defendants may enforce the arbitration provisions in the CC&Rs." (Mot., 8:17-24.)

Director Defendants also assert equitable estoppel, that "Plaintiffs' claims against the Director Defendants are premised on activity that is allegedly wrongful because it violates the CC&Rs. Plaintiffs cannot rely on the CC&Rs to support their claims against the Director Defendants and simultaneously claim they are not bound by the arbitration provision contained in Article 14." (Mot., 9:9-12.)

Plaintiffs respond, contending that Director Defendants' "Owner" argument fails because "Section 14.2 reaches 'disputes between' the named parties. It does not transform every dispute between persons who happen to be Owners into an arbitrable one. Here, the dispute is between the Master HOA and members of its Board. Neither Gutierrez nor Sadahiro is alleged to have breached any duty arising from her or his status as an Owner of a Lot or Condominium in Metropolis. Rather, the Complaint alleges fiduciary breaches and negligence against Gutierrez and Sadahiro in their capacity as Board members and not as property owners." (Opp., 9:13-19.) Plaintiffs also assert that the Director Defendants' argument that the four non-owner directors should be treated as

Owners for purposes of Section 14.2, “is wordplay, not contract interpretation. A board designee elected by an Owner is not herself an ‘Owner’ under Section 1.1.43 of the CC&Rs, which clearly defines the term by reference to record title to a Lot or Condominium.” (Opp., 10:1-3.)

As for estoppel, Plaintiffs contend that “the Director Defendants argue that Plaintiffs are bound by Section 14.2 because Plaintiffs’ claims are premised on wrongful conduct that violates the CC&Rs. Motion at 9. This argument fails because Plaintiffs do not seek to enforce any provision of the CC&Rs against the Director Defendants. Rather, the Complaint references the CC&R provisions as evidence that the Director Defendants breached their fiduciary duties under Corporations Code sections 7231 through 7233.” (Opp., 10:19-24.)

In response, Director Defendants contend that “Plaintiffs do not and cannot contest the fact that the other four Director Defendants, Evans, Li, Lucero, and Wang ‘served on the Master Board as representatives of the Greenland entity “Owners.”’ (Lucero Decl. ¶ 12.) The CC&Rs expressly recognize that an Owner includes ‘record owner(s), whether one or more persons or entities,’ such as the Greenland entity Owners. (CC&Rs Sections 1.1.10, 1.1.24, and 1.149.) Nothing in the CC&Rs excludes entity Owners from serving on the Master Board, and as entities, such Owners could only do so through an individual representative, just as a trust Owner of a Condominium or Lot would only be able to serve on the Master Board through an individual person. There is no basis, under the CC&Rs or otherwise, to read the reference to ‘Owners’” in Section 14.2 as applying only to individual Owners but not to entity Owners (including the representatives of those entities).” (Reply, 10:21-11:2.)

The Court finds Plaintiffs’ assertions persuasive. The dispute is between Master HOA and its board members, and the alleged fiduciary breaches and negligence are connected to Director Defendants Gutierrez and Sadahiro in their capacity as board members. Plaintiffs cite Hendy v. Losse (1991) 54 Cal.3d 723, 732, where the court stated that “[a]n individual can act in two or more different, distinct capacities, either simultaneously or sequentially, giving rise in law to separate and distinct sets of obligations.” Moreover, the four non-owner directors, Evans, Li, Lucero, and Wang, are not clearly defined as an “Owner” within the terms of the CC&Rs.

Next, Director Defendants also assert that "Plaintiffs' causes of action 'arise under' the CC&Rs. The First Cause of Action for Breach of Fiduciary Duty is based on allegations related to the Director Defendants' acts (or failure to act) that Plaintiffs contend were wrongful under the CC&Rs. For example, Plaintiffs allege that the Director Defendants authorized, approved, and ratified the abatements, which Plaintiffs contend violate CC&R Sections 7.1 and 7.4… Plaintiffs, Fourth Cause of Action for Negligence is premised on similar allegations." (Mot., 9:16-26.)

Plaintiffs oppose these contentions because "Counts I and IV are premised on the Director Defendants' statutory and common law fiduciary duties as directors of the Master HOA. They do not 'arise from' the CC&Rs. The Director Defendants attempt to obscure this distinction by pointing out that some allegations in Counts I and IV refer to the provisions in the CC&Rs." (12:26-13:4.) Plaintiffs also assert that "Counts I and IV are not claims 'relating to the Properties.' That phrase, read in context with the rest of the CC&Rs, captures disputes about the Project's real property: boundaries, easements, construction, common area use, etc. It does not sweep in the corporate governance of the entity that administers the property." (Opp., 13:9-12.)

Director Defendants respond by asserting that "Plaintiffs acknowledge their claims against the Director Defendants are 'claims for breach of fiduciary duty and negligence owed to the Master HOA,' (Opp. at 2), and 'are premised on the Director Defendants' statutory and common law fiduciary duties as directors of the Master HOA.' (Opp. at 12.) Plaintiffs' assertion that these claims do not 'arise' from the CC&Rs is illogical. The argument that '[e]ven if the CC&Rs did not exist, the Director Defendants would owe statutory and common law fiduciary duties to the Master HOA, and breach of those duties, in any form, would give rise to liability,' (Opp. at 13), has a critical flaw: if the CC&Rs did not exist, the Master Association itself would not exist, there could be no Master Board, and no directors to owe any fiduciary duties." (Reply, 7:14-22.) Director Defendants cite Dryer v. Los Angeles Rams (1985) 40 Cal.3d 406, 418, where the Supreme Court stated that "[a] long line of California and federal cases holds that claims framed in tort are subject to contractual arbitration provisions when they arise out of the contractual relationship between the parties."

Although Plaintiffs do not explicitly bring causes of action asserting that Director Defendants violated terms of the CC&Rs, Plaintiffs' causes of action are derived from the agreement. Plaintiffs' complaint explicitly alleges, inter alia, that Director Defendants "breached their fiduciary duties" by "allowing Greenland to remain delinquent on their assessment payments to Master HOA in violation of Master HOA's CC&Rs and bylaws; … failing to pursue the remedies for non-payment of assessments owed to Master HOA by Greenland entities, as set forth in the Master HOA's CC&Rs; [and] failing to keep Cost Center funds separate from the Master HOA's general operating and reserve funds, as set forth in the Master HOA CC&Rs." (Compl., ¶¶ 88b, d-e.) Plaintiffs' causes of action arise from the CC&Rs and the obligations that arise due to the agreement. Thus, it cannot be said that the CC&Rs arbitration provision would not apply in the instant action.

Lastly, Plaintiffs assert that arbitration cannot be compelled because "the CC&Rs themselves exclude the derivative claims here from arbitration." (Opp., 2:22-23.) Section 14.3.12 of the CC&Rs states that "[t]he parties may bring claims against the other party only on an individual basis and not as a member in any purported class or representative action or collective proceeding… Also, the arbitrator(s) may award relief (including monetary, injunctive, and declaratory relief) only in favor of the individual party seeking relief and only to the extent necessary to provide relief necessitated by that party's individual claim(s). Any relief awarded cannot be awarded on class-wide or mass-party basis or otherwise affect parties who are not a party to the arbitration." (Compl., Ex., 1, CC&Rs 14.3.12.)

Plaintiffs' action is a derivative action, brought on behalf of Master HOA, and a "derivative action is a representative action brought on behalf of the corporation." (Shen v. Miller (2012) 212 Cal.App.4th 48, 57.) The CC&Rs explicitly exclude representative actions.

However, in response, Director Defendants contend that "Section 14.3.12's prohibition on 'class or representative actions' was designed to prevent the arbitration of large-scale aggregated litigation by multiple claimants, not to categorically exclude derivative suits brought on behalf of the Master Association itself. A derivative action brought by two individual unit owners on behalf of the Master HOA is fundamentally different from a class action or collective proceeding with numerous unnamed plaintiffs with aggregated claims. The term 'representative action' in Section 14.3.12 should be read in context alongside 'class' and 'collective proceeding'—terms that connote multi-party aggregation—and not extended to encompass a two-plaintiff derivative suit vindicating the rights of a single corporate entity." (Reply, 12:7-15.)

Director Defendants assert that "[r]eading Section 14.3.12 to bar arbitration of derivative claims asserted on behalf of Master Association that would otherwise be arbitrable if brought directly by Master Association runs further afoul of the general rule" (Reply, 14:6-8) stated in Frederick v. First Union Securities, Inc. (2002) 100 Cal.App.4th 694, 697, that "shareholder derivative actions are brought to enforce a corporate cause of action against officers, directors and third parties, [citations], the shareholders, standing in the shoes of the corporation have no rights greater than those of the corporation, nor can those they choose to sue be deprived of defenses they could assert against the corporation's claims." (Internal quotations omitted.)

The Court recognizes the validity of Director Defendants' assertions; however, the CC&Rs must be read based upon its plain language. The CC&Rs not only explicitly exclude representative actions, but the CC&Rs explicitly state that "the arbitrator(s) may award relief (including monetary, injunctive, and declaratory relief) only in favor of the individual party seeking relief and only to the extent necessary to provide relief necessitated by that party's individual claim(s)." (Compl., Ex., 1, CC&Rs 14.3.12 [emphasis added].) In the case at hand, Plaintiffs do not have individual causes of action because the entire lawsuit is a derivative lawsuit. Any recovery Plaintiffs would obtain from the lawsuit is for Master HOA, not for an "individual party seeking relief." (See Corp. Code, § 800.) The arbitration agreement's plain language only references individual actions, which is not the issue here.

Based on the foregoing, Plaintiffs cannot be compelled to arbitrate the causes of action asserted against Director Defendants.

C. Arbitration Agreement Covers the Disputes Against FirstService

As for FirstService's arbitration agreement, FirstService contends that section 9.2 of the Management Agreement covers the dispute.

FirstService contends that "Plaintiffs seek to enforce the Master HOA's rights under the Management Agreement and CC&Rs. The HOA agreed to arbitrate disputes 'arising out of or relating to' the Agreement (JAMS) and agreed to ADR/arbitration under the CC&Rs (Article 14)." (Mot., 8:18-20.)

FirstService asserts that "the HOA and Defendant each promised to arbitrate their disputes and to be bound by the arbitration process. (Mathieson Decl. ¶¶4-5, Exhibit A, see also Complaint, Exhibit 3.) Accordingly, the Agreement is an enforceable contract. Furthermore, as derivative Plaintiffs, the Plaintiffs in this action 'stand in the shoes' of the HOA, and are therefore bound by the Agreement's terms." (Mot., 9:17-21.) Further, "Section 9.2 of the Agreement applies to 'any and all disputes, claims or controversies arising out of or relating to this Agreement…' (Complaint, Exhibit 3; Mathieson Decl., Exhibit A.) Plaintiffs' contract and tort claims against FirstService are based on alleged failures to perform duties expressly created by the Agreement (assessment billing, delinquency enforcement, recordkeeping, financial reporting, segregation of funds, etc.). Their theory of liability is inextricably bound to and intertwined with the Agreement they attached to their Complaint as Exhibit 3, placing the dispute squarely within the broad 'arising out of or relating to' language of Section 9.2. Courts consistently compel arbitration in this circumstance." (Mot., 9:23-10:2.)

In opposition, Plaintiff contends that the Management Agreement does not apply to all the causes of action. Plaintiff asserts that "Count II for aiding and abetting breach of fiduciary duty against FirstService is grounded in California common law. This claim requires establishing (i) a primary breach of fiduciary duty by another and (ii) knowing substantial assistance by the defendant… Neither element depends on nor references the Management Agreement." (Opp., 8:5-9.) Plaintiff asserts that "the fact that FirstService's aiding and abetting the Director Defendants' breach of fiduciary duty is evidenced by violations of the Management Agreement does not transform Count II into one ‘arising under’ the agreement.” (Opp., 9:1-3.)

Plaintiff also contends that “Count V for unjust enrichment against FirstService is a quasi-contractual restitutionary claim grounded in equity” and is outside the scope of the Management Agreement. (Opp., 9:9-10.) Further, Plaintiff asserts “[t]he duty to disgorge unjustly retained benefits is imposed by equity, not by the Management Agreement. To the extent Count V targets benefits FirstService conferred on Greenland outside the Management Agreement’s scope, i.e., the unauthorized abatement scheme that the DRE found unlawful (¶¶ 43-49) and the related diversions of Master HOA funds (¶¶ 53, 56, 58), the claim could be pleaded even if the Management Agreement did not exist. To the extent that Count V is read to reach management fees received under the Management Agreement, the gravamen of the claim remains an equitable duty independent of contract.” (Opp., 9:14-20.)

In response, FirstService contends that “Plaintiffs concede that their breach of contract claim is arbitrable but contend that their claims for aiding and abetting breach of fiduciary duty and unjust enrichment fall outside Section 9.2. This argument is contrary to the plain language of the Agreement, well-established principles of contract interpretation, and controlling California authority.” (Reply, 2:22-25.) FirstService avers that the Management Agreement’s language is “particularly expansive” and “reaches claims that have a significant relationship to the contract, even if they do not arise directly from its performance.” (Reply, 3:11-12.)

FirstService further asserts that “Plaintiffs’ claims against FirstService share a common factual core: FirstService’s role and performance as the manager of the Metropolis Master Association under the Agreement. Each claim is therefore ‘related to’ the Agreement.” (Reply, 3:18-20.) First, “[t]he breach of contract claim directly challenges FirstService’s performance of its contractual duties.” (Reply, 3:21-22.) Next, “[t]he aiding and abetting breach of fiduciary duty claim alleges that FirstService assisted the Director Defendants in breaching duties connected to the management and operation of the property — duties that FirstService was contractually responsible for performing or overseeing.” (Reply, 3:23-26.) Lastly, “[t]he unjust enrichment claim seeks recovery of benefits allegedly conferred on FirstService through its contractual relationship with the HOA.” (Reply, 3:27-28.)

As FirstService contends, “[t]he decision as to whether a contractual arbitration clause covers a particular dispute rests substantially on whether the clause in question is broad or narrow. A broad clause includes those using language such as any claim arising from or related to this agreement or arising in connection with the [a]greement. … [W]here contracts provide arbitration for any controversy ... arising out of or relating to the contract ... the courts have held such arbitration agreements sufficiently broad to include torts, as well as contractual, liabilities so long as the tort claims have their roots in the relationship between the parties which was created by the contract.” (Rice v. Downs (2016) 248 Cal.App.4th 175, 186 [internal quotations and citations omitted].) Plaintiffs’ complaint alleges three causes of action against FirstService: aiding and abetting breach of fiduciary duty, breach of contract, and unjust enrichment. The breach of contract cause of action is explicitly based on the Management Agreement. (See Compl., ¶ 98.) Without the Management Agreement, Plaintiffs’ causes of action that do not explicitly arise out of the agreement would not exist. Given that the Management Agreement employs such broad language, it is reasonable to read that it encompasses the other two causes of action. Accordingly, the arbitration clause within the Management Agreement applies to Plaintiff’s causes of action asserted against FirstService.

However, in Plaintiff’s opposition, they also invoke Code of Civil Procedure section 1281.2, subdivision (c). That statute provides that the court shall order parties to arbitrate a “controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: … (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.” (Code Civ. Proc., § 1281.2, subd. (c).) “If the court determines that a party to the arbitration is also a party to litigation in a pending court action or special proceeding with a third party as set forth under subdivision (c), the court (1) may refuse to enforce the arbitration agreement and may order intervention or joinder of all parties in a single action or special proceeding; (2) may order intervention or joinder as to all or only certain issues; (3) may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding; or (4) may stay arbitration pending the outcome of the court action or special proceeding.” (Code Civ. Proc., § 1281.2, subd. (d).)

Plaintiffs contend that “all three conditions under Code of Civil Procedure section 1281.2(c) are satisfied. First, although the breach of contract claim in Count III of the Complaint may be subject to arbitration under the Management Agreement, Counts I and IV are between the Master HOA and third parties (Director Defendants) who are not parties to the Management Agreement. Second, one of the main issues underlying both Counts I and IV against the Director Defendants and the claims against FirstService is whether Greenland was improperly granted abatements of the assessments due on the developer owned condominiums in the Metropolis project. ¶¶ 36-61. Third, if the breach of contract claim is arbitrated in a separate forum, there is certainly the possibility of conflicting rulings on the issue of whether the assessments owed by Greenland were properly abated.” (Opp., 10:10-18.) Thus, Plaintiffs believe that “[i]f any of the arbitrable or non-arbitrable claims were stayed, the parties would be forced to litigate the same issue in different stages and in different forums. Instead of arbitrating the one breach of contract claim, while the remaining claims are litigated in this action, it would be less burdensome and more efficient for the parties and the Court to litigate all claims before this Court.” (Opp., 10:19-11:3.)

In response, FirstService contends that “[t]he most critical fact undermining Plaintiffs’ section 1281.2(c) argument is that the Director Defendants have already offered to stipulate to arbitration before JAMS — the same arbitral forum designated in the Management Agreement… This stipulation removes any legitimate concern about conflicting rulings or duplicative proceedings.” (Reply, 5:3-7.) However, the Court notes that based on the previous analysis, this purported resolution is unsuitable.

FirstService also contends that “[e]ven if the Court were to deny arbitration of some claims against FirstService, compelling arbitration of the claims that clearly fall within Section 9.2 would still be more efficient than litigating the entire case in court. Coordinated arbitration before JAMS, with the Director Defendants participating pursuant to their stipulation, would allow for streamlined discovery and resolution of overlapping factual and legal issues.” (Reply, 5:27-6:3.)

The Court recognizes

that California has a strong policy of arbitrating disputes when a valid arbitration clause exists. However, as Plaintiffs assert, the Court also recognizes that the causes of action between Director Defendants and FirstService are intertwined. Given that the alleged breaches Plaintiffs assert against Director Defendants directly implicate the causes of action against FirstService, the Court finds that this could have the effect of creating conflicting results. Accordingly, the Court finds that it is necessary to stay FirstService's arbitration pending the outcome of the court action. Thus, FirstService demonstrates the existence of a valid arbitration provision that relates to the causes of action in the complaint.

Conclusion

Based on the foregoing, Director Defendants' motion to compel arbitration is DENIED. FirstService's motion to compel arbitration is GRANTED. To reduce the risk of conflicting outcomes, the Court stays Plaintiffs' and FirstService's arbitration until the action against Director Defendants is resolved.

Director Defendants are ordered to provide notice of this Order.

DATED: July 16, 2026

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Hon. Teresa A. Beaudet

Judge, Los Angeles Superior Court